

Japan Cash Fortresses — CORRECTED

Cold, Hard, Steel — CORRECTED — The Tokyo Capital Reform Cohort

DESK-VERIFIED EDITION, 2026-08-21. This replaces the 2026-08-20 Antigravity master deck. The original's *class* was real and its underlying screen data (our July shelf) was honest — but its carry math double-counted, seven of nine dividend yields were wrong, its decisive blue-bench overturn used a fact ten months stale, its PFIC number was another name's, and its order ladders were priced off confabulated numbers (one filled 53% above the writer's assumed tape). Every figure below is primary-verified (kabutan live tape, XBRL/tanshin, court mcap cross-checks) or labeled otherwise. Nine names courted; verdicts are the desk's, not the original deck's.

The honest thesis

We are buying profitable, effectively debt-free Japanese manufacturers at **0.37×–0.81× book** where net cash is a large fraction of the market cap — verified name by name, not asserted. The return comes from three places, in order of reliability:

1. **The balance sheet floor** — real, audited, and the reason downside is bounded;
2. **Idiosyncratic re-rating events** — MBOs, buybacks, parent squeeze-outs, activist stakes. The four precedents the original cited are all genuine (Citizen's 25.6% cancellation, DNP's ¥300B buyback, the Taisei Oncho MBO, Dai-ichi's Benefit One topping bid);
3. **Modest carry while waiting** — the sleeve-weighted dividend is ~**2.7%**, not 3.8%.

What the thesis is **not**: a +7.3% carry trade (see corrections), and not a mechanical TSE forcing function. The TSE regime is comply-or-explain disclosure pressure — strongest on Prime (where 7239 lives), weakest on the Standard-market microcaps that make up most of this cohort. The precedents are real but skew Prime/large-cap; for the microcaps, the catalyst is the controlling family's decision, and the position is priced so that waiting is cheap.

Corrections from the original (kept visible by design)

#	Original claim	Verified reality
1	"+7.3% annual cash carry (3.8% div + 3.5% FX spread)"	Incremental carry $\approx$ +1–2% : the 5.10% USD leg is earned on cash we hold regardless (double-count), and the FX "heads-we-win" matrix required JPY funding for the spread but USD funding for the BOJ-hike gain — the same dollar cannot be both. Real weighted dividend ~2.7%.

#	Original claim	Verified reality
2	Dividend yields per name	Wrong on 7 of 9. Worst: 9713 claimed 2.4%, real 0.67% . Two were understated (7239 real 4.94%, 8135 real 4.14%).
3	“Court-approved cohort”	Courts existed (Antigravity’s own two-bench runs — real transcripts) but ran outside the desk pipeline; blue overturned red on 10 of 11 names, and its decisive 9713 overturn cited the “imminent Osaka 2025 Expo” ten months after the Expo closed . All nine names re-verified and adjudicated by the desk 2026-08-20/21.
4	Order ladders (e.g. 9713 @ ¥1,385; 6286 @ ¥540–580)	Confabulated at order-generation: 9713’s price was 6286’s July shelf price (row swap). The analysis layer’s market caps were honest — all nine matched live kabutan within 15%. 800 sh of 9713 filled 53% above the assumed tape before the desk intervened.
5	“Sanyu PFIC 47.18% — audited”	Row swap: 47.3% is 4625’s number. Sanyu’s own July FMV-basis figure is 35.7% , and the harsher desk recomputation (passive/(mcap+liabilities)) gives ~ 25% — cleaner than claimed. All nine names screened <50% on the July FMV basis.
6	“Osaka 2025 Expo demand surge” (9713)	The Expo closed 2025-10-13. Removed.
7	1853 “killed on thin margins”	Killed, but the real reason (both systems agree): Asahi Kasei’s 25% captive stake + fake FCF — a governance trap, not a margin story.

Verified cohort scorecard (desk courts, 2026-08-20/21)

Name	Tape (8/20-21)	P/B	Div (real)	Net cash/cap	Desk verdict	Disposition
5697 Sanyu	¥825	0.48×	3.64%	~80%	STARTER (ratified)	Envelope live — 100/1,400 sh filled @¥825; Q1 OP +77% YoY (8/04 print); PFIC clean
7239 Tachi-S	¥2,329	0.74×	4.94%	~54%	STARTER (amendment)	Envelope ed, 300 sh @

Name	Tape (8/20-21)	P/B	Div (real)	Net cash/cap	Desk verdict	Disposition
						≤¥2,420. The one Prime name at scale — TSE mechanism real here. ADD gates: AAGS CB verify; Nissan- chain concentration vs held 7222
2819 Ebara Foods	¥2,597	0.69×	1.93%	~68%	STARTER (amendment)	Envelope ed, 200 sh @ ≤¥2,700. Q1 “4×” verified exactly (¥639M) but grade on OP (+20%); Jan— Mar loss is seasonal- normal
4625 Atomix	¥784	0.37×	2.55%	~76%	STARTER (amendment)	Envelope ed, 500 sh @ ≤¥815 — THIN (\$27k/day): 1 lot/day, ~5- session build. ADD gate: identify the Jan— Mar

Name	Tape (8/20-21)	P/B	Div (real)	Net cash/cap	Desk verdict	Disposition
						non-operating gain
8104 Kuwazawa	¥694	0.67×	~ 3.6%	~65%	DEPLOY-SMALLER (July court)	Held 100 sh; Rapidus-ecosystem thesis; re-stage on pullback only
9713 Royal Hotel	¥903	0.58–0.78×*	0.67%	62–84%*	EXIT-LEAN HOLD	800 sh acquired on the fabricated ladder. *Share-count ambiguity moves both starred figures — resolve from tanshin cover; BGO-funds-capex claim unverified; 2 of last 4 quarters are operating losses. Exit unless both resolve favorably
7254 Univance	¥795	0.54×	2.52%	~74%	WATCH	Melt bounding (OP +38% YoY) but an unexplained ¥1.15B net loss

Name	Tape (8/20-21)	P/B	Div (real)	Net cash/cap	Desk verdict	Disposition
						under a ¥1.68B operating profit (Jan–Mar) — identify before entry
8135 Zett	¥435	0.56×	4.14%	~100%†	WATCH (courttable small)	†EV≈0 marginally real pending tanshin cash detail; 0.95% EBIT margin is the real red case
6286 Seiko Corp	¥1,443	0.52×	1.94%	~52%	AVOID (stands)	Our July AVOID unreconciled with their OWNABLE — nothing moves until it is
5458 Takasago	¥1,370	0.81×	3.28%	~63%	UNTRADEABLE	¥155/day; NSC squeeze-out is an event gate, not a position
1853 Mori-Gumi	—	0.70×	—	~59%	KILL (both systems)	Asahi Kasei 25% captive stake; fake FCF; cash will not reach minorities

Position & execution state (actual, not proposed)

- **Held:** 5697 ×100 @ ¥825.80 (envelope filling to 1,400); 8104 ×100 @ ¥672.8 (July); 9713 ×800 @ ¥933.77 (**exit-lean** — the decision this deck owes the principal, gates above).
- **Armed envelopes (principal-run, desk/envelope_runner.py):** SANYU 1,400 · TACHI 300 · EBARA 200 · ATOMIX 500. All: live-tape pricing with 3% sanity refusal, DAY orders only, 1–2 board lots/day at ≤2% of 20d median volume, ceiling/pause gates in code, one execution per Tokyo date, expiry 2026-10-31. Total new intent ≈ **\$15.6k (~1.6% of book)** including Sanyu's remainder. Foreign agents hold no envelopes.
- **Execution doctrine (the fix the original taught us):** no order without a live tape; no GTC ladders resting through prints; build times stated for every thin name.

Sleeve risks, honestly

1. **Catalyst timing is unowned** for the Standard-market names: boards and families decide; the TSE asks politely. Dead money for 3–5 years is a real branch — the ~2.7% carry and the book floor are what make that branch survivable.
2. **9713 is unresolved** and was never desk-chosen — it is the cost of the foreign agent's episode, being managed out or ratified on evidence.
3. **JPY:** unhedged. A 10% yen move swamps a year of carry in either direction.
4. **Liquidity is the position:** exits take as long as entries; every envelope's build time is its exit time too.
5. **Verification gaps that remain:** 8135 cash composition; 9713 share count and BGO terms; 7254's below-the-line hole; current JPY margin and USD cash rates (the original's were stale).

*Prepared by the desk from primary sources (kabutan live tape, EDINET/tanshin, SEC XBRL where applicable, USAspending for the SIGA companion review), replacing the Antigravity original of 2026-08-20. Court artifacts: desk/data/court_artifacts/*_2026082{0,1}*.md; verification annexes in each. Personal research memo — not investment advice.*